UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended August 31, 2025
Commission File Number: 000-20355

Costco Wholesale Corporation

(Exact name of registrant as specified in its charter)
Washington — State of incorporation
Issaquah, Washington — Principal executive offices

Title of each class	Trading symbol	Name of each exchange on which registered
Common Stock	COST	The Nasdaq Global Select Market

The aggregate market value of the voting stock held by non-affiliates of the registrant, as of the last business day of the registrant's most recently completed second fiscal quarter, was approximately $294 billion.

442,904 thousand shares of common stock were outstanding as of October 17, 2025.

Indicate by check mark whether the registrant is a large accelerated filer: Yes ■. Indicate by check mark whether the registrant is a shell company: No ■.
This document is an extract prepared for the registrant's investor portal and omits exhibits and certain items. Filed October 27, 2025.

Table of Contents

1. Part I — Item 1. Business
2. Item 1A. Risk Factors
3. Part II — Item 5. Market for Registrant's Common Equity
4. Item 7. Management's Discussion and Analysis
5. Item 8. Financial Statements and Supplementary Data
6. Notes to Consolidated Financial Statements
7. Item 9A. Controls and Procedures
8. Signatures

Forward-looking statements

This Annual Report contains forward-looking statements that involve risks and uncertainties. Actual results may differ materially from those anticipated. See Item 1A.

Item 1. Business

Costco operates membership warehouses in the United States, Canada and other international markets. The Company's fiscal year ends on the Sunday closest to August 31; the fourth quarter has 16 weeks.

Segments

Net sales - United States. Comparable sales growth and new warehouse openings are the main drivers of this segment's results.

Net sales - Canada. Comparable sales growth and foreign exchange are the main drivers of this segment's results.

Net sales - Other International. New openings in japan, korea and spain are the main drivers of this segment's results.

Membership fees. The september 2025 fee increase and a renewal rate above 90% are the main drivers of this segment's results.

Competition

The Company competes with warehouse clubs, supermarkets, general merchandise retailers, specialty retailers and online marketplaces. Its competitive strategy is to offer a limited selection of quality merchandise at the lowest possible prices while funding operations through membership fees.

Seasonality and government regulation

Sales are typically highest in the fourth fiscal quarter and in the weeks before holidays. The fourth quarter has 16 weeks. The Company is subject to laws and regulations in the jurisdictions in which it operates, including those relating to competition, consumer protection, data privacy, trade, taxation, employment and the environment. Compliance costs are significant and changes in law could affect results.

Human capital

At fiscal year end the Company had approximately 171,000 full-time equivalent employees. The Company's compensation programs include share-based awards for a broad group of employees.

Available information

The Company's annual reports on Form 10-K, quarterly reports on Form 10-Q, current reports on Form 8-K and amendments are available free of charge on its investor relations website as soon as reasonably practicable after they are filed with the SEC.

Item 1A. Risk Factors

The following discussion summarises the material factors that make an investment in the Company's securities speculative or risky. It is not exhaustive.

Member retention and competition. The Company's business depends on renewing members and competes with warehouse clubs, supermarkets and online retailers.

Merchandise costs and tariffs. Tariffs, commodity costs and supply disruptions affect margins; the Company's ability to pass on costs is limited by its pricing model.

Labor. Wage increases and the availability of labor at warehouses and depots affect operating costs.

Expansion. New warehouses, particularly international, carry execution, real estate and currency risk.

Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

The Company's common stock is traded on the Nasdaq Global Select Market under the symbol COST. As of September 20, 2025 there were approximately 17,000 shareholders of record.

The Company paid quarterly cash dividends of $1.16 per share during the year. Future dividends are subject to declaration by the Board of Directors.

Issuer purchases of equity securities (fourth fiscal quarter)

Period	Total shares purchased (thousands)	Average price paid per share	Approximate dollar value remaining under the program ($ millions)
June 2025	20	$836.54	19,983
July 2025	20	$851.98	19,967
August 2025	19	$854.81	19,950

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Total revenue for fiscal 2025 increased 9.1% to $205.6 billion from $188.4 billion in the prior-year period. Operating income was $6.5 billion (3.2% of revenue) compared with $5.8 billion (3.1%). Net income was $5.1 billion, or $22.86 per diluted share, compared with $4.5 billion, or $20.16.

Segment results

Net sales - United States revenue was $148.7 billion, up 9.7% compared with $135.6 billion in the prior-year period, reflecting comparable sales growth and new warehouse openings.

Net sales - Canada revenue was $28.0 billion, up 7.0% compared with $26.2 billion in the prior-year period, reflecting comparable sales growth and foreign exchange.

Net sales - Other International revenue was $23.8 billion, up 8.2% compared with $22.0 billion in the prior-year period, reflecting new openings in Japan, Korea and Spain.

Membership fees revenue was $5.0 billion, up 8.4% compared with $4.6 billion in the prior-year period, reflecting the September 2025 fee increase and a renewal rate above 90%.

The annual membership fee increase effective September 1, 2025 ($65 to $70 for Gold Star; $130 to $140 for Executive) contributed to membership fee growth beginning in the first quarter of fiscal 2026.

Gross margin and operating expenses

Gross margin was 12.4% compared with 12.3%. Research and development expense was $0.0 billion and selling, general and administrative expense was $18.9 billion, together 9.2% of revenue (9.2% in the prior-year period).

Liquidity and capital resources

Cash, cash equivalents and marketable securities were $12.2 billion and total debt was $6.0 billion at August 31, 2025. Cash generated by operating activities was $6.1 billion; capital expenditures were $4.5 billion. The Company paid dividends of $2.1 billion and repurchased $0.2 billion of its common stock during the period.

Quarterly results of operations (unaudited)

	Q1 FY2025	Q2 FY2025	Q3 FY2025	Q4 FY2025	Q1 FY2024	Q2 FY2024	Q3 FY2024	Q4 FY2024
Total revenue	46,035	46,841	47,592	65,105	42,718	42,795	42,945	59,977
Gross margin %	12.3%	12.4%	12.4%	12.4%	12.2%	12.2%	12.1%	12.4%
Operating income	1,427	1,502	1,509	2,108	1,289	1,301	1,240	1,941
Net income	1,104	1,162	1,168	1,630	998	1,008	962	1,501
Diluted EPS	$4.98	$5.24	$5.27	$7.36	$4.50	$4.55	$4.34	$6.77

Critical accounting estimates

The Company's significant estimates include the valuation of inventory and long-lived assets, uncertain tax positions, legal contingencies and, where applicable, the standalone selling prices of performance obligations. Changes in these estimates could materially affect results.

Five-year summary (unaudited)

	FY2025	FY2024	FY2023	FY2022	FY2021
Total revenue	205,572	188,436	177,911	164,435	121,171
Net income	5,064	4,470	3,988	4,127	2,944
Diluted EPS	$22.86	$20.16	$17.97	$18.58	$17.66
Cash generated by operating activities	6,091	5,412	4,877	4,949	3,549
Total debt (year end)	6,000	6,000	6,000	6,000	6,000
Total shareholders' equity (year end)	24,959	21,472	19,822	16,650	15,525

	FY2025	FY2024	FY2023	FY2022	FY2021
Cash dividends declared per share	$9.28	$9.28	$9.28	$9.28	$9.28

Fiscal years prior to the three years presented in Item 8 are derived from previously issued financial statements; per-share amounts reflect subsequent stock splits.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

The Company is exposed to interest rate, foreign currency and, where applicable, commodity price risk. The Company uses derivative instruments to hedge certain exposures and does not enter into derivatives for speculative purposes. A hypothetical 10% adverse movement in exchange rates would not have a material effect on the Company's results.

Item 8. Financial Statements and Supplementary Data

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Costco Wholesale Corporation

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Costco Wholesale Corporation (the Company) as of August 31, 2025 and August 25, 2024, the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended August 31, 2025, and the related notes (collectively, the financial statements). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company at August 31, 2025 and August 25, 2024, and the results of its operations and its cash flows for each of the three years in the period ended August 31, 2025, in conformity with U.S. generally accepted accounting principles.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company. We conducted our audits in accordance with the standards of the PCAOB.

Critical Audit Matters

Vendor rebates and allowances — the timing of recognition of volume-based rebates involves estimation of expected purchase volumes.

/s/ Marlin, Voss & Company LLP
We have served as the Company's auditor since 2010.
Washington, October 25, 2025

CONSOLIDATED STATEMENTS OF OPERATIONS

(in millions, except per-share amounts)

	Year ended Aug 31, 2025	Year ended Aug 25, 2024	Year ended Aug 27, 2023
Total revenue	205,572	188,436	177,911
Merchandise costs	180,114	165,329	156,405
Operating expenses:			
Selling, general and administrative	18,913	17,336	16,368
Total operating expenses	18,913	17,336	16,368
Operating income	6,546	5,771	5,139
Interest income and other, net	206	188	178
Income before income taxes	6,751	5,959	5,317
Provision for income taxes	1,688	1,490	1,329
Net income attributable to Costco	5,064	4,470	3,988
Earnings per share:			
Basic	$23.00	$20.28	$18.08
Diluted	$22.86	$20.16	$17.97
Shares used in computing diluted EPS (thousands)	221,524	221,715	221,906
Cash dividends declared per share	$9.28	$9.28	$9.28

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions)

	Aug 31, 2025	Aug 25, 2024
ASSETS		
Cash, cash equivalents and marketable securities	12,230	11,342
Accounts receivable, net	29,297	26,990
Inventories	6,510	5,998
Other current assets	5,208	4,798
Total current assets	53,246	49,128
Property, plant and equipment, net	37,240	34,307
Goodwill and intangible assets	58,594	53,979
Other non-current assets	22,787	20,992
Total assets	171,867	158,406
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	27,344	25,190
Other current liabilities	19,531	17,993
Total current liabilities	46,876	43,184
Long-term debt	6,000	6,000
Other non-current liabilities	94,032	87,751
Total liabilities	146,908	136,935
Total shareholders' equity	24,959	21,472
Total liabilities and shareholders' equity	171,867	158,406

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions)

	Year ended Aug 31, 2025	Year ended Aug 25, 2024
Operating activities:		
Net income	5,064	4,470
Depreciation and amortization	2,261	2,073
Share-based compensation expense	822	754
Changes in operating assets and liabilities and other	(2,056)	(1,884)
Cash generated by operating activities	6,091	5,412
Investing activities:		
Payments for acquisition of property, plant and equipment	(4,523)	(4,146)
Purchases and maturities of marketable securities, net	(731)	(649)
Cash used in investing activities	(5,254)	(4,795)
Financing activities:		
Payments for dividends	(2,056)	(2,058)
Repurchases of common stock	(200)	(200)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(2,256)	(2,258)
Increase (decrease) in cash and cash equivalents	(1,418)	(1,641)

Notes to Consolidated Financial Statements

Note 1 - Summary of Significant Accounting Policies

Basis of presentation. The consolidated financial statements include the accounts of Costco Wholesale Corporation and its wholly owned subsidiaries. Intercompany accounts and transactions have been eliminated. The fiscal year ended August 31, 2025.

Revenue recognition. Revenue is recognized when control of the promised goods or services is transferred to customers, in an amount that reflects the consideration the Company expects to receive. Payments received in advance are recorded as deferred revenue.

Use of estimates. The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts. Actual results could differ from those estimates.

Note 2 - Earnings Per Share

	FY2025	FY2024
Net income	5,064	4,470
Weighted-average diluted shares (thousands)	221,524	221,715
Diluted earnings per share	$11.43	$10.08

Note 3 - Segment Information

Segment	FY2025 revenue	FY2024 revenue
Net sales - United States	148,733	135,602
Net sales - Canada	28,038	26,216
Net sales - Other International	23,816	22,019
Membership fees	4,985	4,599
Total	**205,572**	**188,436**

Note 4 - Debt

Total term debt was $6.0 billion at year end, consisting of fixed-rate notes with maturities from 2026 to 2057 and a weighted-average interest rate of 3.32%. The Company has a commercial paper program and undrawn revolving credit facilities.

Note 5 - Income Taxes

The effective tax rate was 25.0% compared with the US statutory rate of 21%, with the difference driven by foreign earnings taxed at lower rates, research credits and share-based compensation.

Note 6 - Revenue by Geography

Region	FY2025	FY2024
United States	150,068	134,807
Canada	28,780	26,117
Other International	26,724	24,497
Total	**205,572**	**188,436**

Revenue is attributed to geographic regions based on the billing address of the customer.

Note 8 - Share-Based Compensation

	FY2025	FY2024
Share-based compensation expense	822	754
Income tax benefit related to share-based compensation	206	188
Unrecognized compensation cost at year end	1,891	1,658
Weighted-average remaining recognition period (years)	2.6	2.7

Restricted stock units generally vest over four years. Expense is recognized on a straight-line basis over the requisite service period.

Note 9 - Leases

The Company leases retail, office, data-center, manufacturing and warehouse space under operating leases with remaining terms of up to 26 years. Operating lease liabilities were $9.3 billion at year end; lease cost for the year was $2.3 billion.

Note 7 - Membership Fees

Membership fee revenue is recognized ratably over the one-year membership period. Deferred membership fees were $2.9 billion at year end. The fee increase effective September 1, 2025 will be recognized over the following twelve months as memberships renew.

Note 10 - Subsequent Events

Management evaluated subsequent events through the date these financial statements were issued. On September 1, 2025 the Company increased its annual membership fees in the US and Canada.

Item 9A. Controls and Procedures

Management, with the participation of the Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of the Company's disclosure controls and procedures as of the end of the period covered by this report and concluded that they were effective. Management's report on internal control over financial reporting concluded that internal control was effective, and the independent auditor issued an unqualified opinion thereon.

Item 10. Directors, Executive Officers and Corporate Governance (extract)

Information about the Company's directors and corporate governance is incorporated by reference from the proxy statement. The executive officers of the Company as of the filing date are:

Name	Age	Position
Ron Castellano	54	Chief Executive Officer and Director
Gary Moreau	57	Chief Financial Officer
Luis Ferreira	45	General Counsel and Secretary
Angela Ruiz	44	Chief Operating Officer
Henrik Dahl	45	Chief Accounting Officer and Controller

Part IV. Item 15. Exhibits and Financial Statement Schedules

Exhibit	Description
3.1	Restated Articles of Incorporation (incorporated by reference)
3.2	Amended and Restated Bylaws (incorporated by reference)
4.1	Description of Securities registered under Section 12
10.1	Form of Restricted Stock Unit Award Agreement*
21.1	Subsidiaries of the Registrant
23.1	Consent of Independent Registered Public Accounting Firm
31.1	Rule 13a-14(a) Certification of Chief Executive Officer
31.2	Rule 13a-14(a) Certification of Chief Financial Officer
32.1	Section 1350 Certifications
101	Inline XBRL Instance Document and taxonomy extension files
104	Cover Page Interactive Data File (embedded within the Inline XBRL document)

* Indicates management contract or compensatory plan. Exhibits are omitted from this extract.

Signatures

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized, on October 27, 2025.

Costco Wholesale Corporation
By: /s/ Ron Castellano, Chief Executive Officer
By: /s/ Gary Moreau, Chief Financial Officer (Principal Financial Officer)